

SECURITIES AND EXCHANGE COMMISSION

**SEC FORM 17-Q
QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE
SECURITIES REGULATION CODE**

1. For the quarterly period ended : 30 June 2025
2. Commission Identification Number : 145490
3. BIR Tax Identification Number : 000-144-386

SHANG PROPERTIES, INC.

4. Exact name of the Issuer as specified in this charter: _____
5. Province, country or other jurisdiction of incorporation or organization: Not Applicable
6. Industry Classification Code: (SEC Use Only)
7. Shangri-La Plaza Adm. Office, 5th Floor, Shangri-La Plaza, EDSA cor. Shaw Blvd. Mandaluyong
City 1550
Address of issuer's principal office Postal Code
(632) 8370-2700
8. Issuer's telephone number, including area code _____
9. Former name, former address and former fiscal year, if changed since last report: _____
10. Securities registered pursuant to Sections 8 and 12 of the SRC, or Sections 4 and 8 of the RSA.

Title of each Class
Common Stock

Number of shares of common stock
outstanding and amount of debt outstanding
4,764,056,287 common shares

11. Are any or all of the securities listed on a Stock Exchange?

Yes [x]

No []

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

Philippine Stock Exchange

12. Indicate by check mark whether the registrant:

(a) Has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports).

Yes [x]

No []

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes [x]

No []

PART 1 – FINANCIAL INFORMATION

Item 1. Financial Statements

Please see attached.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Please see attached.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the Issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

SHANG PROPERTIES, INC.

Issuer

By:


KARLO MARCO P. ESTAVILLO
Chief Operating Officer


RAJEEV GARG
VP-Finance

Date of Signing: 12 November 2025

PART 1 – FINANCIAL INFORMATION

Item 1. Financial Statements

SHANG PROPERTIES, INC. AND SUBSIDIARIES

UNAUDITED CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

(All amounts in thousands of Philippine Peso)

	Notes	Unaudited September 30, 2025	Audited December 31, 2024
Current assets			
Cash and cash equivalents	3	3,023,929	3,171,640
Financial assets at fair value through profit or loss	4	33,337	32,895
Trade and other receivables, net	5	17,480,329	7,709,620
Properties held for sale	6	11,150,080	8,396,598
Prepaid taxes and other current assets	7	3,932,836	3,392,553
Total current assets		36,630,511	22,703,306
Non-current assets			
Investments in and advances to associates and a joint venture	8	10,367,739	9,250,604
Investment properties	10	47,040,613	47,194,415
Financial assets at fair value through other comprehensive income	11	846,768	846,768
Property and equipment, net	12	9,745,822	9,980,510
Goodwill		269,871	269,871
Deferred income tax assets		296,093	172,741
Other non-current assets	13	1,398,747	1,424,121
Total non-current assets		69,965,653	69,139,030
Total assets		105,586,164	91,842,336
Liabilities and Equity			
Current liabilities			
Accounts payable and other current liabilities	14	17,480,544	5,340,738
Current portion of:			
Bank loans	15	4,522,000	11,055,000
Deposits from tenants	16	640,703	570,017
20Deferred lease income		57,536	27,176
Income tax payable		324,954	293,091
Dividends payable		92,755	527,467
Total current liabilities		23,118,492	17,813,489
Non-current liabilities			
Retirement benefit liability		71,627	171,215
Bank loans, net of current portion	15	14,573,000	7,040,000
Deferred income tax liabilities, net		8,535,857	8,837,955
Advance rental, net of current portion		140,812	140,812
Deposits from tenants, net of current portion	16	1,043,865	502,378
Deferred lease income, net of current portion	16	54,041	29,783
Total non-current liabilities		24,419,202	16,722,142
Total liabilities		47,537,694	34,535,954
Equity			
Share capital	17	4,764,059	4,764,059
Share premium	17	834,440	834,440
Treasury shares		(6,850)	(6,850)
Equity reserves		(141,133)	(141,133)
Other comprehensive income		330,531	301,867
Retained earnings		46,662,676	45,480,205
Total equity attributable to shareholders of the Parent Company		52,443,723	51,232,588
Non-controlling interests	9	5,604,747	6,074,116
Total equity		58,048,470	57,306,704
Total liabilities and equity		105,586,164	91,842,336

(See accompanying notes to unaudited consolidated financial statements)

SHANG PROPERTIES, INC. AND SUBSIDIARIES
UNAUDITED CONSOLIDATED STATEMENTS OF TOTAL COMPREHENSIVE INCOME
(All amounts in thousands of Philippine Peso)

	UNAUDITED FOR THE QUARTER ENDED		UNAUDITED FOR THE NINE (9) MONTHS ENDED	
	30-September-25	30-September-24	30-September-25	30-September-24
REVENUES				
Condominium sales	736,797	1,190,387	1,986,483	2,951,864
Rental and cinema	705,717	659,584	2,092,042	1,955,111
Hotel operations	1,086,114	1,056,329	3,422,892	3,229,792
	2,528,628	2,906,300	7,501,417	8,136,767
COST OF SALES AND SERVICES				
Cost of condominium sales	507,787	559,193	1,389,630	1,364,356
Cost of rental and cinema	25,970	25,557	55,783	87,167
Cost of hotel operations	566,248	544,201	1,657,938	1,585,102
	1,100,005	1,128,951	3,103,351	3,036,625
GROSS PROFIT	1,428,623	1,777,349	4,398,066	5,100,142
OPERATING EXPENSES				
Staff Costs	220,305	161,557	571,465	492,107
Taxes, licenses and fees	70,663	59,341	209,739	183,021
Depreciation	8,341	7,334	24,701	23,859
Insurance	15,018	11,002	33,543	29,229
Other operating expenses	406,449	308,289	1,180,262	916,016
	720,776	547,523	2,019,710	1,644,232
OTHER INCOME				
Foreign exchange loss-net	(905)	(3,458)	(14,751)	(3,476)
Other income - net	154,211	44,620	311,701	123,413
	153,306	41,162	296,950	119,937
Income from operations	861,153	1,270,988	2,675,306	3,575,847
Finance income, net				
Finance Income	37,334	171,548	98,843	226,427
Finance Costs	(28,740)	(13,938)	(67,445)	(28,068)
	8,594	157,610	31,398	198,359
SHARE IN PROFIT OF ASSOCIATES AND A JOINT VENTURE	214,434	635,255	874,356	1,783,922
INCOME BEFORE INCOME TAX	1,084,181	2,063,853	3,581,060	5,558,128
Income tax benefit (expense)	(180,354)	(336,085)	(583,333)	(861,939)
NET INCOME FOR THE YEAR	903,827	1,727,768	2,997,727	4,696,189
NET INCOME ATTRIBUTABLE TO:				
Shareholders of the Parent company	769,686	1,584,020	2,531,161	4,239,332
Non-controlling Interest	134,141	143,748	466,566	456,857
	903,827	1,727,768	2,997,727	4,969,189
OTHER COMPREHENSIVE INCOME				
Translation adjustments	-	-	-	-
Remeasurement gain (loss) on retirement benefit obligation, net of tax	-	-	-	-
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	903,827	1,727,768	2,997,727	4,969,189
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:				
Shareholders of the Parent company	769,686	1,584,020	2,531,161	4,239,332
Non-controlling Interest	134,141	143,748	466,566	456,857
	903,827	1,727,768	2,997,727	4,969,189
BASIC AND DILUTED EARNINGS PER SHARE ATTRIBUTABLE TO SHAREHOLDERS OF THE PARENT COMPANY	0.162	0.333	0.532	0.890

(See accompanying notes to unaudited consolidated financial statements)

SHANG PROPERTIES, INC. AND SUBSIDIARIES
UNAUDITED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

(All amounts in thousands of Philippine Peso)

	Shareholders of the Parent Company							Total
	Capital stock	Additional Paid-in Capital	Treasury Stock	Equity Reserves	Other Comprehensive Income	Retained Earnings	Non-controlling Interest	
Balances as of January 1, 2024	4,764,059	834,440	(6,850)	(141,133)	289,713	38,576,727	6,171,302	50,488,258
Translation adjustments	-	-	-	-	-	-	(358,622)	(358,622)
Cash dividends	-	-	-	-	-	(1,379,674)	(137,816)	(1,517,490)
Net income for the period	-	-	-	-	-	4,239,331	456,858	4,696,189
Balances as of September 30, 2024	4,764,059	834,440	(6,850)	(141,133)	289,713	41,436,384	6,131,722	53,308,336
Balances as of January 1, 2025	4,764,059	834,440	(6,850)	(141,133)	160,734	45,480,205	6,074,116	57,306,704
Translation adjustments	-	-	-	-	28,966	(40,591)	(388,290)	(399,915)
Cash dividends	-	-	-	-	-	(1,308,099)	(547,646)	(1,855,745)
Net income for the period	-	-	-	-	-	2,531,161	466,566	2,997,727
Balances as of September 30, 2025	4,764,059	834,440	(6,850)	(141,133)	189,700	46,662,676	5,604,746	58,048,771

(See accompanying notes to unaudited consolidated financial statements)

SHANG PROPERTIES, INC. AND SUBSIDIARIES
UNAUDITED CONSOLIDATED STATEMENTS OF CASH FLOWS
(All amounts in thousands of Philippine Peso)

	September 30, 2025	September 30, 2024
Cash flows from operating activities		
Income before provision for income tax	3,581,060	5,558,128
Adjustments for:		
Depreciation and amortization	24,701	183,021
Dividend Income	-	(9,075)
Interest expense	65,305	26,783
Retirement benefit expense	(99,588)	12,964
Loss on fair value adjustment of financial assets at fair value through profit or loss	(442)	684
Cumulative translation adjustment	(28,964)	-
Share in net profits of associates and a joint venture	(874,356)	(1,783,923)
Unrealized foreign exchange gain	(14,751)	(3,475)
Interest income	(98,843)	(226,597)
Operating income before working capital changes	2,554,422	3,758,511
Changes in working capital:		
Trade and other receivables	(9,770,708)	(2,866,870)
Properties held for sale	(2,753,482)	(2,525,869)
Prepaid taxes and other current assets	(540,283)	(608,799)
Other non-current assets	(97,978)	1,075,096
Accounts payable and other current liabilities	11,845,831	1,171,219
Accrued employee benefits	(99,588)	-
Deposits from tenants	62,662	(173,492)
Net cash generated from (used in) operations	1,200,875	(170,204)
Income tax paid	551,470	(294,410)
Interest received	75,572	29,137
Net cash provided by (used in) operating activities	1,827,918	(435,476)
Cash flows from investing activities		
Additions to:		
Investments in and advances to associates and a joint venture	(242,779)	1,817
Investment properties	153,802	(1,021,399)
Property and equipment	(70,655)	(87,407)
Dividends received	-	9,075
Net cash used in investing activities	(159,631)	(1,097,914)
Cash flows from financing activities		
Payments of:		
Loan principal	-	(760,000)
Interest	(53,280)	(17,845)
Cash dividends payable (paid) to:		
Shareholders	(1,308,099)	(1,379,674)
Non-controlling shareholders of subsidiaries	(469,369)	(137,816)
Proceeds from loan avaiement, net of debt issue costs	-	4,960,000
Net cash used in financing activities	(1,830,748)	2,664,665
Net increase (decrease) in cash and cash equivalents for the period	(162,461)	1,131,275
Cash and cash equivalents at beginning of the period	3,171,640	1,408,142
Effects of exchange rate changes on cash and cash equivalents	14,751	3,475
Cash and cash equivalents at end of the period	3,023,929	2,542,892

(See accompanying notes to unaudited consolidated financial statements)

Shang Properties, Inc. and Subsidiaries

Notes to the Unaudited Consolidated Financial Statements

(All amounts are shown in Philippine Peso unless otherwise stated)

Note 1 - General information

Shang Properties, Inc. (the "Parent Company"), a corporation duly organized and existing in the Philippines, was incorporated and registered with the Philippine Securities and Exchange Commission (SEC) on October 21, 1987 to acquire, own, develop, subdivide, sell, mortgage, exchange, lease or hold for investment, real estate of all kinds.

The Parent Company's registered office address, which is also its principal place of business, is at Administration Office, Shangri-La Plaza Mall, EDSA corner Shaw Boulevard, Mandaluyong City.

The Parent Company and its subsidiaries' (together, the "Group") businesses include property investment and development, hotel operations, real estate management, leasing, mall and carpark operations, and other supplementary businesses.

Note 2 - Segment information

The Group's operating businesses are organized and managed according to the nature of the products and services marketed. Each segment represents a strategic business unit that offers different products and serves different markets. The Group has operations only in the Philippines. The Group derives revenues from three (3) main segments as follows:

(a) Property development

This business segment pertains to the development and sale of condominium units. The subsidiaries operating in this segment are as follows:

- Shang Properties Realty Corporation ("SPRC") is the developer of The Shang Grand Tower Project (TSGT), located in Makati City, The St. Francis Shangri-La Place Project (TSFSP) and One Shangri-La Place Project (OSP), both located in Mandaluyong City, and Shang Bauhinia Residences located in Cebu City.
- Shang Property Developers, Inc. ("SPDI") is the developer of Shang Salcedo Place Project (SSP), located in Makati City.
- The Rise Development Company Inc. ("TRDCI") is the developer of The Rise Makati Project, located in Makati City.
- Shang Wack Wack Properties, Inc. ("SWWPI") is the developer of Shang Residences at Wack Wack Project, located in Mandaluyong City.
- SPI Property Holdings, Inc. ("SPI-PHI"), is the developer of Laya project in Pasig City.
- SPI Land Development, Inc. ("SPI-LDI") is the developer of Shang Summit project in Quezon City.

On October 23, 2024, The Parent Company acquired, for a total consideration of P2.53 billion, 100% of the issued share capital of Rapid Share Realty and Development Corporation (RRDC), a company primarily engaged in the development, sale, and lease of real estate properties. On February 21, 2025, RRDC was able to secure approval from the SEC to change its name to SPI Realty, Inc. and is in the process of updating its other business registrations with other government agencies.

(b) Hotel operations

This business segment pertains to the operations of Shangri-La at the Fort's hotel and residences. Shang Global City Properties, Inc. ("SGCPI") is the developer of Shangri-La at the Fort Project, located in Taguig City. SGCPI's hotel and restaurant operations started commercial operations on March 1, 2016.

(c) Leasing

This business segment pertains to the rental operations of the Shangri-La Plaza Mall, The Enterprise Center ("TEC") and their related carpark operations as operated by Shangri-La Plaza Corporation ("SLPC"), KSA Realty Corporation ("KSA") and SPI Parking Services, Inc. ("SPSI"), respectively. It also includes rental of a portion of the Parent Company's land to EDSA Shangri-La Hotel and Resort, Inc. ("ESHRI") and cinema operations of Shangri-La Plaza Mall.

In 2019, the Parent Company started construction of the Shang One Horizon. The project is located in the City of Mandaluyong and is expected to be completed in 2028. Upon completion, the project will be subsequently leased out to third parties and related parties. In 2021, the construction of the land project was subsequently assigned by the Parent Company to SPI Property Developers, Inc. ("SPI-PDI"), a subsidiary.

(d) Other Business Segments

Other business segments pertain to property management services and operations of real estate entities and other subsidiaries. Except for the rental revenue from ESHRI, all revenues come from transactions with third parties. There are no revenues derived from a single external customer above 10% of total revenue in 2024, 2023 and 2022. There is no need to present reconciliation since measure of segment assets, liabilities and results of operations are consistent with those of the consolidated financial statements.

All revenues are from domestic entities incorporated in the Philippines; hence, the Group did not present geographical information required by PFRS 8, *Operating Segments*.

There are no changes in the Group's reportable segments and related strategies and policies in 2025 and 2024.

The segment assets, liabilities and results of operations of the reportable segments of the Group as of and for the period ended September 30, 2025 are as follows:

In Php'000s	Property development	Hotel operations	Leasing	Others	Total segments	Eliminations	Consolidated
Revenues							
Condominium sales	1,986,483	-	-	-	1,986,483	-	1,986,483
Rental and cinema	111,327	-	2,278,575	-	2,389,902	(297,860)	2,092,042
Hotel operation	-	3,422,892	-	-	3,422,892	-	3,422,892
Cost of sales and services							
Condominium sales	(1,389,630)	-	-	-	(1,389,630)	-	(1,389,630)
Rental and cinema	-	-	(55,783)	-	(55,783)	-	(55,783)
Hotel operation	-	(1,657,938)	-	-	(1,657,938)	-	(1,657,938)
Gross profit	708,180	1,764,954	2,222,792	-	4,695,926	(297,860)	4,398,066
Operating expenses	(582,931)	(714,873)	(1,153,220)	(52,246)	(2,503,270)	483,560	(2,019,710)
Other income and expenses	259,589	20,142	4,153,572	701,606	5,134,909	(4,739,116)	395,793
Share in net income of associates and a joint venture	-	-	874,356	-	874,356	-	874,356
Interest expense and bank charges	(929)	(3,003)	(63,478)	(35)	(67,445)	-	(67,445)
Income before income tax	383,909	1,067,220	6,034,022	649,325	8,134,476	(4,553,416)	3,581,060
Income tax expense	(102,324)	(263,163)	(214,964)	(2,882)	(583,333)	-	(583,333)
Net income for the year	281,585	804,057	5,819,058	646,443	7,551,143	(4,553,416)	2,997,727
Segment assets	35,219,393	8,113,968	86,972,161	189,287	130,494,809	(35,276,383)	95,218,426
Associate and joint venture companies (Note 8)	-	-	-	10,367,738	10,367,738	-	10,367,738
Total assets	23,124,408	8,113,968	86,972,161	10,557,025	140,862,547	(35,276,383)	105,586,164
Segment liabilities	28,441,997	1,232,225	39,410,493	7,720,006	76,804,721	(28,716,809)	47,537,694
Capital expenditures for the year (Notes 10 and 12)	18,818	30,235	23,459	107	72,619	-	72,619

The segment assets, liabilities and results of operations of the reportable segments of the Group as of and for the year ended December 31, 2024 are as follows:

In Php'000s	Property development	Hotel operations	Leasing	Others	Total segments	Eliminations	Consolidated
Revenues							
Condominium sales	4,614,789	-	-	-	4,614,789	-	4,614,789
Rental and cinema	146,481	-	2,905,983	-	3,052,464	(368,044)	2,684,420
Hotel operation	-	4,519,414	-	-	4,519,414	-	4,519,414
Cost of sales and services							
Condominium sales	(2,031,229)	-	-	-	(2,031,229)	-	(2,031,229)
Rental and cinema	(21,922)	-	(74,803)	-	(96,725)	(5,050)	(101,775)
Hotel operation		(2,216,925)	-	-	(2,216,925)	-	(2,216,925)
Gross profit	2,708,119	2,302,489	2,831,180	-	7,841,788	(373,094)	7,468,694
Operating expenses	(660,766)	(926,528)	(2,157,073)	(73,116)	(3,817,483)	618,072	(3,199,411)
Other income and expenses	478,222	32,154	6,693,834	800,285	8,004,495	(2,477,619)	5,526,876
Share in net income of associates and a joint venture	-	-	2,526,569	-	2,526,569	-	2,526,569
Interest expense and bank charges	(916)	(3,358)	(61,635)	(33)	(65,942)	-	(65,942)
Income before income tax	2,524,659	1,404,757	9,832,875	727,136	14,489,427	(2,232,641)	12,256,786
Income tax expense	(633,724)	(351,112)	(1,285,427)	(14,798)	(2,285,061)	-	(2,285,061)
Net income for the year	1,890,935	1,053,645	8,547,448	712,340	12,204,366	(2,232,641)	9,971,725
Segment assets	24,423,719	8,775,033	80,940,853	1,324,698	115,464,303	(32,872,571)	82,591,732
Associate and joint venture companies (Note 8)	-	-	-	9,250,604	9,250,604	-	9,250,604
Total assets	254,423,719	8,775,033	80,940,853	10,575,302	124,715	(32,872,571)	91,842,336
Segment liabilities	15,182,447	1,617,348	36,101,051	7,800,780	60,701,626	(26,165,993)	34,535,632
Capital expenditures for the year (Notes 10 and 12)	15,656	66,073	47,839	71	129,639	-	129,639

Note 3 - Cash and cash equivalents

Cash and cash equivalents consist of:

	September 30, 2025	December 31, 2024
(All amounts in Php'000s)	(Unaudited)	(Audited)
Cash on hand	3,637	75,143
Cash in banks	1,140,475	1,250,293
Cash equivalents	1,879,817	1,846,204
	3,023,929	3,171,640

Cash in banks earned interest at prevailing bank deposit rates.

Cash equivalents are made for varying periods between one day and three months, depending on the immediate cash requirements of the Group, and earn interest at the prevailing short-term deposit rates.

Interest income earned from Short Term Investment amounted to P13.6M and 278.1M for the nine (9) months ended September 30, 2025 and the year ended December 31, 2024, respectively.

Note 4 - Financial assets at fair value through profit or loss

This account represents equities that are listed in the Philippine Stock Exchange (PSE). Movements in the account for the nine (9) months ended September 30, 2025 and the year ended December 31, 2024 respectively are as follows:

	September 30, 2025	December 31, 2024
(All amounts in Php'000s)	(Unaudited)	(Audited)
At beginning of period	32,895	35,405
Gain (Loss) on fair value adjustment	442	(2,510)
At end of period	33,337	32,895

The fair values have been derived based on the current bid prices in the PSE (Level 1 valuation). The fair value adjustment is included in Other Income in the statements of comprehensive income.

Note 5 – Trade and Other Receivables, net

Trade and other receivables, net, as at September 30, 2025 and December 31, 2024 consist of:

	September 30, 2025	December 31, 2024
(All amounts in Php'000s)	(Unaudited)	(Audited)
Trade		
Installment contracts receivable	14,895,970	5,731,178
Rent	220,382	158,039
Receivables from guests and concessionaires	241,140	181,441
Non-trade		
Related parties	2,529,692	2,351,603
Advances to officers and employees	11,374	4,854
Interest	29,138	5,865
Others	317,865	41,925
	18,245,561	8,474,905
Allowance for impairment of receivables	(765,232)	(765,285)
	17,480,329	7,709,620

Installment contracts receivable arises from sale of condominium units in the Group's ordinary course of business. Contract receivables are collectible within a period based on the payment schedule agreed with the buyers.

Rent receivables pertain to rental fees charged to tenants and are non-interest bearing. The normal credit terms range from 30 to 60 days.

Receivables from guests and concessionaires pertain to receivables arising from hotel, restaurant and rental services. These are usually due within 30 days and do not bear any interest.

Other receivables are non-interest bearing and consist of income from non-tenant related receivables.

Note 6 - Properties held for sale

Properties held for sale consist of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
(All amounts in Php'000s)		
Condominium units held for sale	363,346	371,462
Construction in-progress	10,786,734	8,025,136
	11,150,080	8,396,598

Critical accounting judgment - Estimation of net realizable value of properties held for sale

Properties held for sale are carried at the lower of cost or net realizable value. The net realizable value of completed condominium units is the estimated selling price of a condominium unit less estimated costs necessary to make the sale. While the net realizable value of condominium units under construction is the estimated selling price of a condominium unit less estimated costs to complete the construction, estimated time value of money to the date of completion and estimated costs necessary to make the sale.

NRV has been assessed to be higher than cost based on circumstances or conditions as at September 30, 2025 and December 31, 2024. Accordingly, no write-down is deemed necessary.

Critical accounting estimates - Estimation of percentage-of-completion of the Group's projects

Revenue from condominium sales is recognized over time in accordance with the guidance set in PFRS 15, *Revenue from contracts with customers*, and Philippine Interpretations Committee Questions and Answers (PIC Q&A) 2016-04. Revenue is calculated with reference to the Percentage of Completion (PoC) of the project. PoC is determined on the basis of a technical evaluation involving a significant degree of estimates done by the Group's project management team who are specialists in such computations. Management believes that revenue from condominium sales reported in the statement of total comprehensive income best reflects the PoC of the projects as at reporting date.

The Group's on-going projects and their PoC as at the following dates are as follows:

Projects	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Shang Residences at Wack Wack	99%	96%
Shang One Horizon	61%	50%
Laya by Shang	32%	22%
Shang Summit	9%	7%
Shang Bauhinia Residences	9%	5%

Critical accounting judgment - Collectability of the transaction price

Identification of a “contract” for real estate sale transaction in the context of PFRS 15 requires certain judgments based on the collectability of the transaction price. Collectability of the transaction price is demonstrated by the buyer’s commitment to pay which, in turn, is supported by substantial initial and continuing investments that gives the buyer a sufficient stake in the property that risk of loss through default motivates the buyer to honor his obligation. Collectability is also assessed by considering factors such as the credit standing of the buyer, age, and location of the property. For condominium sales, in determining whether the contract prices are collectible, the Company considers that initial and continuing investments by the buyer of about 5% effective January 1, 2024, would demonstrate the buyer’s commitment to pay, based on historical data.

Note 7 - Prepaid taxes and other current assets

Prepaid taxes and other current assets consist of:

	September 30, 2025	December 31, 2024
(All amounts in Php'000s)	(Unaudited)	(Audited)
Advances to contractors and suppliers	2,058,110	1,837,982
Creditable withholding tax (CWT)	620,266	664,704
Input value added tax (VAT)	601,402	512,670
Prepaid commission	518,393	132,033
Prepaid property tax	49,289	43,028
Inventories	26,439	34,578
Prepaid insurance	14,825	8,102
Deferred input VAT	5,021	5,778
Other prepaid expenses	39,091	153,678
	3,932,836	3,392,553

Advances to contractors and suppliers pertain to down payment made by the Group for the construction and development of its condominium properties. These are applied as payments of progress billing by the contractors and suppliers based on milestones or percentage of accomplishment or delivery as stipulated in the contracts.

CWT is the tax withheld by the withholding agents from payments to the Group which can be applied against the income tax payable.

Prepaid commission represents advance commission paid to property consultants and brokers based on the percentage of completion of the project sold. This account is treated as a fulfilment cost under PFRS 15, Revenue from contracts with customers, and therefore amortized as an expense.

Input VAT represents tax paid to suppliers that can be claimed as credit against the future output VAT liabilities without prescription.

Consumables and supplies consist of food, beverages and other recreational consumable items for the hotel operations.

Other prepaid expenses mainly consist of advance payments for rent, staff accommodation rentals, software support, refundable deposits, and other expenses which are normally utilized within the next financial year.

Note 8 - Investments in and advances to associates and a joint venture

Investment in an associate and a joint venture consists of:

(All amounts in Php'000s)	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Investment in a joint venture		
At January 1	7,260,375	5,629,057
Impact of change in accounting for significant financing component and borrowing cost of joint venture	-	(890,855)
Additions to investment	(152,221)	(4,396)
Share in net income	874,356	2,526,569
Ending Balance	7,982,510	7,260,375
Advances to a joint venture	2,385,096	1,990,096
Investments in various associates		
Acquisition costs	133	133
	10,367,739	9,250,604

(a) Investment in and advances to a joint venture

On March 22, 2018, the Parent Company entered into a Joint Venture Agreement (the "Agreement") with Robinsons Land Corporation (RLC) for the construction and development of a mixed-use condominium project (later known as Aurelia Residences). Within two (2) months from the effective date of the Agreement, the parties shall establish the joint venture company ("JVC") and shall execute the Articles and By-Laws of the JVC. On May 23, 2018, the SEC approved the Certificate of Incorporation of Shang Robinsons Properties, Inc. (SRPI), JVC. SRPI is jointly controlled by the Parent Company and RLC, each holding 50% interest.

The registered office address of SRPI, which is also its principal place of business, is at Cyber Sigma, Lawton Avenue, Taguig City.

The authorized capital stock of SRPI is P3 billion divided into 3 billion common shares with par value of P1 per share. On April 19, 2018, the Parent Company subscribed and paid in full the amount of P1 billion equivalent to 1 billion commons shares at P1 per share.

SRPI engages in: (i) the business of developing a property into a mixed-use development, (ii) the marketing and sale of the residential condominium units in the project, (iii) and the lease of serviced apartment units and/or commercial units in the project.

SRPI launched Aurelia Residences, it's first project, in 2019 and had since then presold 90% of its condominium units. As at September 30, 2025, the Aurelia Residences Projects is 96% complete (2024-89%). In 2020, the Parent Company and RLC entered into another joint venture agreement to develop a parcel of land located at the Bridgetowne Estate in Pasig City. The project (known as Haraya Residences) was launched in 2023. As of September 30, 2025, Haraya Residences – South Tower is 78% sold out and 31% completed (2024-20%) while the North Tower is 30% completed (2024-19%).

In the third quarter of 2025, the Group's share in net income of the joint venture amounted to P874M (2024-P2.5B).

In 2019, advances amounting to P1B were extended to SRPI. These advances mature on April 1, 2023 and bear interest at a rate of 4%. The advances were partially collected in 2023 amounting to P750M. The remaining balance has been agreed to be collectible at a future date to be subsequently determined and agree upon by both parties.

In 2021, an additional P1.59B advances was extended to SRPI with the same interest rate, as indicated above. The outstanding balance is collectible on demand.

Interest income earned from these advances amounted to P65M in the third quarter of 2025 (2024 full year–P75.1M).

(b) Investments in various associates

The Group also has interests in a number of individually immaterial associates that are accounted for using the equity method.

(c) Acquisition

On October 23, 2024, the Parent Company acquired 100% of the issued share capital of Rapidshare Realty and Development Corporation (RRDC) for a cash consideration of 2,526,268,000. RRDC is a company primarily engaged in the development, sale, and lease of real estate properties. The acquisition is accounted for as an asset acquisition.

Note 9 - Non-controlling interests

The proportion of equity interest held by the non-controlling interest (NCI) of KSA and SGCPI, the Group's subsidiaries with NCI that are deemed material, are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
KSA	29.96%	29.96%
SGCPI	40.00%	40.00%

Note 10 - Investment properties

Details of investment properties as at September 30, 2025 and December 31, 2024 and their movements are as follows:

(All amounts in Php'000s)	Land	Building	Total
At January 1, 2024	15,905,947	21,383,326	37,289,273
Transfers due to change in use			
From Properties held for sale	-	121,643	121,643
From Real estate development project	-	-	-
Capitalized subsequent expenditures	-	4,582,794	4,582,794
Fair value gain	4,800,837	399,868	5,200,705
At December 31, 2024	20,706,784	26,487,631	47,194,415
Properties held for sale	-	-	-
Capitalized subsequent expenditures	-	(153,802)	(153,802)
At September 30, 2025	20,706,784	26,333,829	47,040,613

The Group's investment properties located in Mandaluyong City and Makati City include parcels of land and buildings held for office and retail leases and other parcels of land held for capital appreciation.

The Group has no restrictions on the realizability of its investment properties and no contractual obligations to purchase, construct or develop investment properties or for repairs, maintenance and enhancements.

The fair value measurements for investment properties have been categorized as Level 3 for parcels of land and building properties. The current use of these properties is their highest and best use.

Note 11 - Financial assets at fair value through other comprehensive income, net

Financial assets at fair value through other comprehensive income (FVOCI), net as at September 30, 2025 and December 31, 2024 are presented below.

(All amounts in Php'000s)	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Unquoted	488,430	488,430
Quoted	9,101	9,101
	497,531	497,531
Cumulative changes in fair value	349,237	349,237
	846,768	846,768

The fair values of the unquoted equity securities are based on the net asset value of the underlying assets of investee companies which are mainly investment properties consisting of land and buildings which are measured and carried at fair value of underlying assets. The fair value measurements have been categorized as Level 3. Estimated fair value of assets classified as Level 3 is considered immaterial relative to the overall size of the Group's total assets.

The quoted equity securities consist of investments in various golf club shares and stocks. These are carried at fair values which are based on the quoted market prices (Level 1) as at the reporting date. The cumulative changes in fair values of unquoted and quoted equity shares are presented as part of other comprehensive income in the consolidated statements of financial position.

Note 12 - Property and equipment, net

Details of property and equipment and their movements during the period are as follows:

(All amounts in Php'000s)	Building and building improvements	Transportation equipment	Furniture, fixtures and other equipment	Total
Cost				
At January 1, 2025	9,622,474	78,396	7,197,983	16,898,853
Additions	18,345	21	52,290	70,656
Disposals	(354)	-	(13,974)	(14,328)
Reclassification	-	-	(25)	(25)
At September 30, 2025	9,640,465	78,417	7,236,272	16,955,156
Accumulated depreciation and amortization				
At January 1, 2025	1,861,689	53,213	5,003,442	6,918,344
Depreciation and amortization	98,006	3,187	195,256	296,449
Disposals	(354)	-	(5,105)	(5,459)
Reclassification	-	-	-	-
At September 30, 2025	1,959,341	56,400	5,193,593	7,209,334
Cost				
At January 1, 2024	9,609,092	62,535	7,108	16,780,044
Additions	13,158	15,861	102,772	131,791
Adjustments	224	-	-	224
Disposals	-	-	(13,206)	(13,206)
At December 31, 2024	9,622,474	78,396	7,197,983	16,898,853
Accumulated depreciation and amortization				
At January 1, 2024	1,731,776	46,531	4,755,672	6,533,979
Depreciation and amortization	129,913	6,682	259,750	396,345
Disposals	-	-	(11,981)	(11,981)
At December 31, 2024	1,861,689	53,213	5,003,441	6,918,343

Net book values at				
At September 30, 2025	7,681,124	22,017	2,042,681	9,745,822
At December 31, 2024	7,760,785	25,183	2,194,542	9,980,510

Building and building improvements include land rights which pertain to the share of SGCPI in the land where the construction project was constructed after deducting the rights allocated to condominium unit owners.

Note 13 - Other non-current assets

Other non-current assets as at September 30, 2025 and December 31, 2024 consist of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
(All amounts in Php'000s)		
Advances to contractors and suppliers, noncurrent	1,315,852	1,233,752
Refundable deposits	79,490	72,111
Retirement benefit asset	1,317	402
Deferred input VAT	-	319
Other noncurrent assets	2,088	117,537
	1,398,747	1,424,121

Advances to contractors and suppliers

Advances to contractors and suppliers pertain to initial payments made by the Group for the construction and development of its investment property under construction. These are applied as payments of progress billing by the contractors and suppliers based on milestones or percentage of accomplishment or delivery as stipulated in the contracts.

Refundable deposits

Refundable deposits include cash required from the Group for the on-going construction and utilities maintenance. This is refundable at the end of the lease term. Refundable deposits are reflected at their carrying amounts which are assumed to approximate their fair values.

Deferred Input VAT

Deferred input VAT represents non-current portion of VAT arising from the purchase of capital goods on credit.

Note 14 - Accounts payable and other current liabilities

Accounts payable and other current liabilities consist of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
(All amounts in Php'000s)		
Trade:		
Accounts payable	906,470	666,894
Advance rentals	110,061	181,022
Accrued expenses	1,015,535	1,709,690
Customers' deposits from:		
Condominium sales	21,384	528,404
Hotel guests	629,321	198,868
Retention payables	1,082,887	761,057
Reservation payables	-	35,306
Advances from condominium unit buyers	-	58,535
Contract liabilities	11,331,003	222,150
Payable to contractors and suppliers	-	842
Construction bonds	84,839	78,172

Non-trade:		
Payable to related parties	195,131	176,282
Deferred output VAT	1,594,770	5,898
Payable to government agencies	83,248	69,943
Output VAT	394,319	263,972
Others	31,576	383,700
	<u>17,480,544</u>	<u>5,340,738</u>

Accounts payable and accrued expenses are non-interest bearing and are normally settled within 30 to 60 days and within the next financial year, respectively.

Advance rentals pertain to the three-month rent collected from tenants to be applied to the last three (3) months of the lease term.

Retention payables represent the portion of contractor billings which will be paid upon satisfaction by the contractors of the conditions specified in the contracts or until the defects have been corrected.

Customers' deposits from condominium buyers represent initial collections (e.g. down payments) received from the buyers which shall be applied as payment of the transaction price when the sales contract meets the requirements of PFRS 15 for revenue recognition purposes while deposits from hotel guests are advances made by guests in relation to their stay in the hotel and will be applied against the guests' hotel charges upon their check-out.

Advances from condominium unit buyers mainly pertain to amounts collected from buyers upon unit turnover, which are intended to pay for expenses incurred in process of transferring title to the buyers, utility deposits and real property taxes during titling period. These amounts are liquidated after title has been transferred to the buyer and any excess is refunded to the buyer.

Construction bonds pertain to cash deposits posted by tenants as security for any expenses or damages that may be incurred by SLPC to the leased premises or common areas that may be sustained in relation to construction activities conducted by the tenants during fit-out, as well as during renovation period of the lease. It is normally returned to the tenants within six months after completion of their construction activities.

Contract liabilities represent any excess collections received from buyers over the revenue recognized based on the percentage of completion method. The amount is expected to be applied against revenue in the following year.

Payable to contractors and suppliers represents progress billings from various contractors for the material and labor costs incurred to date with normal credit terms of 30 to 60 days, but may go beyond as agreed.

Reservation payables pertain to cash paid by the buyers of condominium units for the reservation of the units purchased. These shall be considered as part of the down payment on the units purchased upon execution of the contracts or income if the reservation is forfeited when the buyer did not push through with the purchase.

Deferred output VAT is the result of the difference in the application of installment method between the accounting policy of the Group and the tax regulations. It will be reclassified to output VAT payable when the collections from condominium unit buyers warrant recognition of revenue.

Payable to government agencies are expected to be settled within the next financial year.

Output VAT represents tax due and payable after deducting the corresponding input VAT.

Other accrued expenses consist of accruals for advertising and promotions, insurance, other employee related costs and other general and administrative expenses. Other current liabilities pertain mainly to taxes and insurance.

Note 15 - Bank loans

Bank loans, net of debt issue costs, consist of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
(All amounts in Php'000s)		
Current portion	4,522,000	11,055,000
Non-current portion	14,573,000	7,040,000
	19,095,000	18,095,000

Movements in the bank loans are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
At beginning of period	18,095,000	10,115,000
Amortized debt issue cost	-	-
Proceeds from loan availment	1,000,000	8,740,000
Payments	-	(760,000)
At end of period	19,095,000	18,095,000

Parent Company

Bank loans of the Parent Company as of September 30, 2025 and December 31, 2024 consist of unsecured short term and long-term loans. These are composed of unsecured loans from various banks with interest rates ranging from 5.5% to 6.2% (2024 – 6.0% to 6.4%). The short-term loans have payment terms of 3 to 12 months (2024 – 3 to 12 months).

Note 16 - Deposits from tenants

This account represents non-interest-bearing rental deposits from tenants. Deposits from tenants is based on the present value of estimated future cash flows using applicable market rates at reporting date. The difference between the discounted and face value of the deposits is recognized as deferred lease income. Deferred lease income is amortized on a straight-line basis over the lease term and is recognized in profit or loss as additional rent income. Interest is accreted on the deposits from tenants using the effective interest rate method and is recognized as additional interest expense in profit or loss.

Note 17 - Equity

Details of share capital and share premium are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
(All amounts in Php'000s)		
Authorized, at P1 par value per share		
Common shares	8,000,000	8,000,000
Issued and outstanding shares		
Common shares	4,764,059	4,764,059
Share premium	834,440	834,440
	5,598,499	5,598,499

In 2007, the Board of Directors approved the redemption of 2,140,645 common shares at redemption price of P3.20 per share or a total of P6,850,064 and the amount is presented as treasury shares in the consolidated statements of financial position.

The Parent Company is listed in the Philippine Stock Exchange. It was registered on June 13, 1991 with total listed shares of 4,764,058,982 which was initially issued at P1.18 per share.

Note 18 - Financial risk and capital management

18.1 Financial risk management

The Group's activities expose it to a variety of financial risks: market risk (including currency risk, price risk and cash flow and fair value interest rate risk), credit risk and liquidity risk. The Group's overall risk management program focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on the Group's financial performance. Risk management is carried out by the Group's management under policies approved by its Board of Directors. These policies cover financing structure, foreign exchange and interest rate risk management, guarantees and credit support, as well as treasury control framework. There are no changes in the Group's risk management plans for the periods ended September 30, 2025 and December 31, 2024.

18.1.1 Market risk

(a) Foreign exchange risk

The Group's exposure to currency risk is minimal and limited only to foreign currency denominated cash in banks and cash equivalents. Changes in foreign currency exchange rates of these assets are not expected to have a significant impact on the financial position or results of operations of the Group.

The Group's foreign currency denominated cash in banks and cash equivalents as at and net foreign exchange gains for the periods ended September 30, 2025 and December 31, 2024 are disclosed in Note 3.

(b) Price risk

The Group's exposure to price risk is minimal and limited only to financial assets at fair value through profit or loss and FVOCI presented in the consolidated statements of financial position. Changes in market prices of these financial assets are not expected to have a significant impact on the financial position or results of operations of the Group.

(c) Cash flow and fair value interest rate risk

Interest rate risk refers to risk that the value of a financial instrument will fluctuate due to changes in market interest rates. The Group's interest-bearing financial instruments include bank loans (Note 16). These financial instruments are not exposed to fair value interest rate risk as these are carried at amortized cost. Likewise, these instruments are not exposed to variability in cash flows as this carry fixed interest rate, to be repriced every 30 to 180 days as agreed by the parties. The Company's exposure to cash flow interest risk is considered insignificant to the financial statements.

The Group's interest rate risk management policy focuses on reducing the overall interest expense and exposure to change in interest rates. Changes in market interest rates relate primarily to the Group's long-term loans with floating interest rates as it can cause a change in the amount of interest payments.

18.1.2 Credit risk

Credit risk refers to the risk that the counterparty will default on its contractual obligations resulting in a financial loss to the Group. Credit risk arises from cash deposits with banks, as well as credit exposure to customers and suppliers.

Exposure to credit risk arises from potential default of the counterparty, with a maximum exposure equal to the carrying amounts of these financial assets. The Group has no significant concentration on credit risk.

The Group's financial assets are categorized based on the Group's collection experience with the counterparties as follows:

- a. Performing - settlements are obtained from counterparty following the terms of the contracts without history of default.
- b. Underperforming - some reminder follow-ups are performed to collect accounts from counter-party.
- c. Credit impaired - evidence that a financial asset is credit-impaired includes the following observable data: significant financial difficulty of the counterparty, a breach of contract such as a default or being more than 120 days past due; or it is probable that the borrower will enter bankruptcy or other financial reorganization.

The following tables summarize the credit quality of the Group's financial assets per category and aging analysis of financial assets as at September 30, 2025 and December 31, 2024:

(All amounts in Php'000s)	Performing	Under performing	Non-Performing	Total
2025				
Current assets				
Cash and cash equivalents	3,023,929	-	-	3,023,929
Trade and other receivables	17,480,329	-	765,231	18,245,560
Financial assets at fair value through profit or loss	33,337	-	-	33,337
Refundable deposits	-	-	-	-
Non-current assets				
Advances to a joint venture	2,385,096	-	-	2,385,096
Refundable deposits	79,490	-	-	79,490
Financial assets at FVOCI	846,768	-	-	846,768
	23,848,949	-	765,231	24,614,180
2024				
Current assets				
Cash and cash equivalents	3,171,640	-	-	3,171,640
Trade and other receivables	7,709,620	-	13,308	7,722,928
Financial assets at fair value through profit or loss	32,895	-	-	32,895
Refundable deposits	2,438	-	-	2,438
Non-current assets				
Advances to a joint venture	1,990,096	-	-	1,990,096
Refundable deposits	56,908	-	-	56,908
Financial assets at FVOCI	846,768	-	-	846,768
	13,810,365	-	13,068	13,823,673

There are no collaterals held as security or other credit enhancements attached to the Group's financial assets.

Allowance for impairment of receivables as at September 30, 2025 amounted to P765,231 (2024 – P13M). Apart from the financial assets covered by allowance, the remaining financial assets are classified as high performing.

The credit quality of the Group's financial assets is discussed below.

(a) Cash and cash equivalents

Credit risk from balances with banks is managed by the Group's treasury department in accordance with the Group's policy. Investments of surplus funds are made only with approved counterparties to mitigate financial loss through counterparty's potential failure to make payments.

(b) Receivables

There is no concentration of credit risk with respect to receivables since the Group has a large number of counterparties involved.

Trade receivables

Sales of residential condominium units that are on installment basis are supported by post-dated checks from the buyers. Titles to property sold are not released unless full payment is received. In case of leasing operation, tenants are subjected to credit evaluation and are required to put up security deposits and pay advance rentals, if necessary.

For the hotel operation, hotel guests who wish to avail of a credit line are subjected to normal credit investigation and checking. References are required to include review of the customer's financial position and earnings. Approval of a credit line is performed by the Financial Controller and the General Manager. A guest may not be given a line, but special ad hoc arrangements are allowed. It usually requires deposits, prepayments or credit card guarantees as collaterals. Existing credit lines are reviewed annually. The balances due from customers are considered as high-grade financial assets.

For the leasing operation, the Group enters into lease agreements with recognized and creditworthy third parties who are required to put up security deposits. The Group does not offer credit terms to third parties without the specific approval of management. In addition, receivable balances are monitored on an on-going basis with the result that the exposure of the Group to bad debts is not significant.

Non-trade receivables

The credit exposure on nontrade receivables is minimal as there is no history of default and collections are expected to be made within 30 to 60 days. In respect of balances due from related parties, management considered the credit quality of these receivables to be good based on financial condition of the related parties.

(c) Refundable deposits

Refundable deposits include cash required from the Group for the on-going construction and utilities maintenance. This is refundable at the end of the lease term. Refundable deposits are reflected at their carrying amounts which are assumed to approximate their fair values. Considering the balance and average term of outstanding lease arrangements, management believes that the impact of discounting is not significant. Refundable deposits are considered as high performing financial assets.

18.1.3 Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group maintains sufficient cash and cash equivalents in order to fund its operations. The Group monitors its cash flows and carefully matches the cash receipts from its operations against cash requirements for its operations. The Group utilizes its borrowing capacity, if necessary, to further bolster its cash reserves.

18.2 Capital management

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating, comply with externally imposed capital requirements, and maintain healthy capital ratios to support its business and maximize shareholders value.

The Group manages its capital structure and makes adjustments considering changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. There were no changes in the Group's strategies and policies during 2024 and 2023.

The Group monitors capital using a gearing ratio, which is net debt, including long-term loans less cash and cash equivalents, divided by capital. Capital pertains to total equity less non-controlling interest. The gearing ratio is presented below:

(All amounts in Php'000s)	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Net debt		
Bank loans	19,095,000	18,095,000
Less: cash and cash equivalents	3,023,929	3,171,640
	16,071,071	14,923,360
Capital		
Total equity	58,048,471	57,306,704
Less: Non-controlling interest	5,604,747	6,074,116
	52,443,724	51,232,588
Gearing ratio	31%	29%

The Group was able to meet its capital management objectives.

18.3 Fair value measurement

The Group follows the fair value measurement hierarchy to disclose the fair value measurements of its financial instruments. The table below summarizes the fair value measurement hierarchy of the Group's assets and liabilities at September 30, 2025 and December 31, 2024:

(All amounts in Php'000s)	Fair value measurement using			Total
	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)	
2025				
Assets measured at fair value				
Financial assets at fair value through profit or loss	33,337	-	-	33,337
Investment properties:				
Land	-	19,198,636	1,832,701	21,031,337
Buildings	-	21,709,345	4,299,931	26,009,276
Financial assets at FVOCI:			-	
Quoted	81,350	-	-	81,350
Unquoted	-	-	765,418	765,418
Assets for which fair values are disclosed				
Financial asset at amortized cost				
Refundable deposits	-	79,490	-	79,490
Liabilities for which fair values are disclosed				
Installment payable	-	-	-	-
Deposits from tenants	-	1,043,865	-	1,043,865

(All amounts in Php'000s)	Fair value measurement using			Total
	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)	
2024				
Assets measured at fair value				
Financial assets at fair value through profit or loss	32,895	-	-	32,895
Investment properties:				
Land	-	19,198,636	1,832,701	21,031,337
Buildings	-	21,205,309	4,957,769	26,163,078
Financial assets at FVOCI:				
Quoted	81,350	-	-	81,350
Unquoted	-	-	765,418	765,418
Assets for which fair values are disclosed				
Financial asset at amortized cost				
Refundable deposits	-	178,900	-	178,900
Liabilities for which fair values are disclosed				
Installment payable	-	-	-	-
Deposits from tenants	-	1,072,395	-	1,072,395

The Group's policy is to recognize transfers into and transfers out of fair value hierarchy levels as of the date of the event or change in circumstances that caused the transfer.

There have been no assets and liabilities transferred among Level 1, Level 2 and Level 3 during 2025 and 2024.

The following methods and assumptions were used to estimate the fair value of each class of financial instrument for which it is practicable to estimate such value:

(a) Financial assets at fair value through profit or loss

The fair value of financial assets at fair value through profit or loss is based on quoted market prices at the reporting date.

(b) Cash and cash equivalents, trade and other receivables, accounts payable and other current liabilities, accrued employee benefits and dividends payable

Due to the short-term nature of cash and cash equivalents, trade and other receivables, accounts payable and other current liabilities, dividends payable and accrued employee benefits, their carrying values were assessed to approximate their fair values.

(c) Installment contracts receivable

The fair value of installment contracts receivable is based on the discounted value of future cash flows using applicable rates for similar instruments.

(d) Refundable deposits and deposits from tenants

The fair value of deposits from tenants was based on the present value of estimated future cash flows using applicable market rates at the reporting date.

(e) Bank loans

The carrying value of the bank loans with variable interest rates approximates their fair value because of recent and quarterly repricing based on market conditions.

Note 19 - Summary of significant accounting and financial reporting policies

19.1 Basis of preparation

Financial Reporting Standards, as modified by the application of the following financial reporting reliefs for real estate companies issued by the Securities and Exchange Commission in response to the COVID19 pandemic:

- Assessing whether the transaction price includes significant financing component (SFC).
- Impact of implementing IFRIC Agenda Decision on Over Time Transfers of Constructed Goods under PAS 23, Borrowing Cost.

The interim consolidated financial statements as of and for the period ended September 30, 2025 do not include all the information and disclosures required in the annual financial statements and should be read in conjunction with the consolidated annual financial statements as of December 31, 2024 which have been prepared under Philippine Financial Reporting Standards (PFRSs).

The term PFRS in general includes all applicable PFRS, Philippine Accounting Standards (PAS), and interpretations of the Philippine Interpretations Committee (PIC), Standing Interpretations Committee (SIC) and International Financial Reporting Interpretations Committee (IFRIC) which have been approved by the Financial and Sustainability Reporting Standards Council (FSRSC) and adopted by SEC.

The consolidated financial statements have been prepared under the historical cost convention, as modified by the revaluation of financial assets at fair value through profit or loss, investment properties and financial assets at FVOCI.

The preparation of consolidated financial statements in conformity with PFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group's accounting policies.

19.2 Changes in accounting policy and disclosures

(a) New standards, amendments and interpretations adopted by the Group

The Company has adopted certain amendments for the first time effective January 1, 2024:

- Classification of Liabilities as Current or Non-current and Non-current liabilities with covenants – Amendments to PAS 1.
- Lease Liability in Sale and Leaseback – Amendments to PFRS 16.
- Supplier Finance Arrangements – Amendments to PAS 7 and PFRS 7; and

The amendments listed above did not have any impact on the amounts recognized in prior periods and are not expected to significantly affect the current or future periods.

Adoption of amendments to existing standards and interpretations deferred by SEC until December 31, 2023

The Company has adopted for the first time effective January 1, 2024, certain amendments to existing standards and interpretations deferred by SEC under Memorandum Circular Nos. 14-2018, 4-2020 and 34-2020 until December 31, 2023.

The Company elected to apply such amendments by recognizing the cumulative effect as an adjustment to the retained earnings as at January 1, 2024, which is the date of initial application. The Company elected to apply such amendments retrospectively only to contracts that are not completed contracts at the date of initial application.

IFRIC Agenda Decision on Over Time Transfer of Constructed Goods (PAS 23)

In March 2019, IFRIC published an Agenda Decision on whether borrowing costs can be capitalized on real estate inventories that are under construction and for which the related revenue will be recognized over time under paragraph 35(c) of IFRS 15. IFRIC concluded that borrowing costs cannot be capitalized for such real estate inventories as they do not meet the definition of a qualifying asset under IAS 23 considering that these inventories are ready for their intended sale in their current condition.

Assessing whether the transaction price includes significant financing component

There is a significant financing component in the contracts to sell when there is a mismatch between the POC of real estate projects and schedule of payments. PIC, in its response to the Real Estate Industry dated November 11, 2020, allows the industry to provide support that their specific payments schemes have no significant financing component, if the difference between the promised consideration and the cash selling price of the good or service arises for reasons other than the provision of finance.

New standards, amendments and interpretations not yet adopted

Certain amendments to accounting standards have been published that are not mandatory for December 31, 2024 reporting periods and have not been early adopted by the Group. These amendments are not expected to have a material impact on the entity in the current or future reporting periods and on foreseeable future transactions.

19.3 Basis of consolidation

The consolidated financial statements comprise the financial statements of the Group as at September 30, 2025 and December 31, 2024. The subsidiaries' financial statements are prepared for the same reporting year as the Parent Company. The Group uses uniform accounting policies, and any difference between subsidiaries and the Parent Company is adjusted properly.

The Group is composed of the subsidiaries listed below:

Nature and name of entity	Ownership %		
	2024	2023	2022
Property development:			
Shang Properties Realty Corporation (SPRC)	100	100	100
Shang Property Developers, Inc. (SPDI)	100	100	100
The Rise Development Corporation, Inc. (TRDCI)	100	100	100
Shang Wack Wack Properties, Inc. (SWWPI)	100	100	100
SPI Property Holdings, Inc. (SPI-PHI)	100	100	100
SPI Land Development, Inc. (SPI-LDI)	100	100	100
SPI Realty, Inc.	100	-	-
Hotel operation:			
Shang Global City Properties, Inc. (SGCPI)	60	60	60
Leasing:			
SPI Parking Services, Inc. (SPSI)	100	100	100
Shangri-la Plaza Corporation (SLPC)	100	100	100
KSA Realty Corporation (KSA)	70.04	70.04	70.04
SPI Property Developers, Inc. (SPI-PDI)	100	100	100
Real estate:			
Ivory Post Properties, Inc. (IPPI)	100	100	100
KPPI Realty Corporation (KRC)	100	100	100
Martin B Properties, Inc. (MBPI)	100	100	100
New Contour Realty, Inc. (NCRI)	100	100	100
Perfect Sites, Inc. (PSI)	100	100	100
Shang Fort Bonifacio Holdings, Inc. (SFBHI)	100	100	100
Shang Global City Holdings, Inc. (SGCHI)	100	100	100
Sky Leisure Properties, Inc. (SLPI)	100	100	100

Property management:

KPPI Management Services Corporation (KMSC)	100	100	100
Shang Property Management Services, Inc. (SPMSI)	100	100	100
Other supplementary business:			
Gipsey, Ltd. (Gipsey)	100	100	100
Silver Hero Investments Limited (SHIL)	100	100	100
EPHI Logistics Holdings, Inc. (ELHI)	60	60	60

Except for Gipsey and SHIL, which were incorporated in the British Virgin Islands (BVI) and use Hong Kong dollars (HK\$) as their functional currency, all the other subsidiaries were incorporated and registered in the Philippines which use Philippine Peso as their functional currency.

All subsidiary undertakings are included in the consolidation. The proportion of the voting rights in the subsidiary undertakings held directly by the Parent Company do not differ from the proportion of ordinary shares held.

The summarized financial information of subsidiaries with significant non-controlling interest as at and for the period ended September 30, 2025 and the year ended December 31, 2024 are disclosed in Note 9.

(a) Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. These are deconsolidated from the date that control ceases.

The Group also assesses the existence of control where it does not have more than 50% of the voting power by virtue of de facto control. De facto control may arise in circumstances where the size of the Group's voting rights relative to the size and dispersion of holdings of other shareholders give the Group control over the investee.

Whenever the Group obtains control of one or more other entities, it assesses whether the acquired group of net assets constitutes a business. In assessing whether a transaction is an acquisition of a business or assets, the Group identifies the elements in the acquired group, assesses the capability of the acquired group to produce outputs, and assesses the capability of a market participant to produce outputs if missing elements exist. If the assets acquired are not a business, the Group accounts for the transaction or other event as an asset acquisition.

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. On an acquisition-by-acquisition basis, the Group recognizes any non-controlling interest in the acquiree either at fair value or at the non-controlling interest's proportionate share of the recognized amounts of acquiree's identifiable net assets.

Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through profit or loss.

Any contingent consideration to be transferred by the Group is recognized at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognized in accordance with PFRS 9 either in profit or loss or as a change to other

comprehensive income. Contingent consideration that is classified as equity is not re-measured, and its subsequent settlement is not accounted for within equity.

If the excess of the consideration is transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recorded as goodwill. If the total of consideration is transferred, non-controlling interest recognized and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognized directly in profit or loss.

Inter-company transactions, balances and unrealized gains on transactions between Group companies are eliminated. Unrealized losses are also eliminated. When necessary, amounts reported by subsidiaries have been adjusted to conform with the Group's accounting policies.

(b) Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions - that is, as transactions with the owners in their capacity as owners. For purchases from non-controlling interests, the difference between any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

(c) Disposal of subsidiaries

When the Group ceases to have control, any retained interest in the entity is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognized in profit or loss. The fair value is the initial carrying amount for purposes of subsequently accounting for the retained interest as an associate or financial asset. In addition, any amounts previously recognized in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognized in other comprehensive income are reclassified to profit or loss.

(d) Associates and joint ventures

Associates are all entities over which the Group has significant influence but does not control, generally accompanying a shareholding of between 20% and 50% of the voting rights. Investments in associates are accounted for using the equity method of accounting.

Interests in joint ventures are accounted for using the equity method, after initially being recognized at cost in the consolidated statement of financial position.

Under the equity method of accounting, the investments are initially recognized at cost and adjusted thereafter to recognize the Group's share of the post-acquisition profits or losses of the investee in profit or loss, and the Group's share of movements in other comprehensive income of the investee in other comprehensive income. Dividends received or receivable from associates and joint ventures are recognized as a reduction in the carrying amount of the investment.

When the Group increases its stake in an existing associate and gains control of that investment, the investment becomes a subsidiary. When the entity obtains control of the investment (an investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee) that was previously accounted for under equity method, the carrying amount of the investment in associate is derecognized and the assets and liabilities acquired are recognized in the Group's consolidated financial statements at acquisition date.

When the Group's share of losses in an equity-accounted investment equals or exceeds its interest in the entity, including any other unsecured long-term receivables, the Group does not recognize further losses, unless it has incurred obligations or made payments on behalf of the other entity.

Unrealized gains on transactions between the Group and its associates and joint ventures are eliminated to the extent of the Group's interest in these entities. Unrealized losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of equity accounted investees have been changed where necessary to ensure consistency with the policies adopted by the Group.

If the ownership interest in an associate or a joint venture is reduced but joint control or significant influence is retained, only a proportionate share of the amounts previously recognized in other comprehensive income are reclassified to profit or loss where appropriate.

The Group determines at each reporting date whether there is any objective evidence that the investment is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the investments and its carrying value and recognizes the amount adjacent to 'share in net earnings of associates in the consolidated statement of total comprehensive income. The carrying amount of equity-accounted investments is tested for impairment in accordance with the policy described in Note 19.13.

Dilution gains and losses arising from investments are recognized in profit or loss. Investment in subsidiaries and associates are derecognized upon disposal. Gains and losses on disposals of these investments are determined by comparing the proceeds with the carrying amount and are included in profit or loss.

19.4 Cash and cash equivalents

Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less from the date of acquisition and are subject to an insignificant risk of change in value.

19.5 Financial instruments

19.5.1 Classification of financial assets

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value either through other comprehensive income ("OCI") or through profit or loss, and
- those to be measured at amortized cost.

The classification depends on the Group's business model for managing the financial assets and the contractual terms of the cash flows.

For assets measured at fair value, gains and losses will either be recorded in profit or loss or OCI. For investments in equity instruments that are not held for trading, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment at FVOCI.

The Group re-classifies debt investments when and only when its business model for managing those assets changes.

19.5.2 Measurement of financial assets

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss ("FVTPL"), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVTPL are expensed in profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

Debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the cash flow characteristics of the asset. There are three measurement categories into which the Group classifies its debt instruments:

- **Amortized cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortized cost. Interest income from these financial assets is included in other income using the effective interest rate method. Any gain or loss arising from derecognition is recognized directly in profit or loss and presented in other income, net, together with foreign exchange gains and losses. Impairment losses are presented in other general and administrative expenses in the consolidated statements of total comprehensive income.

The Group's financial assets at amortized cost consist of cash and cash equivalents (Note 3), trade and other receivables (Note 5), refundable deposits under prepaid taxes and other current assets (Note 7) and other non-current assets (Note 13) in the consolidated statements of financial position.

- **FVOCI:** Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses which are recognized in profit or loss. When the financial asset is derecognized, the cumulative gain or loss previously recognized in OCI is reclassified from equity to profit or loss and recognized in other income, net. Interest income from these financial assets is included in finance income using the effective interest rate method. Foreign exchange gains and losses are presented in other income, net, and impairment expenses are presented in other general and administrative expenses in the consolidated statements of total comprehensive income.

The Group does not have debt instruments at FVOCI as at September 30, 2025 and December 31, 2024.

- **FVTPL:** Assets that do not meet the criteria for amortized cost or FVOCI are measured at FVTPL. A gain or loss on a debt investment that is subsequently measured at FVTPL is recognized in profit or loss and presented within other income, net, in the period in which it arises.

The Group does not have debt instruments at FVTPL as at September 30, 2025 and December 31, 2024.

Equity instruments

The Group subsequently measures all equity investments at fair value through profit or loss, except where the Group's management has elected, at initial recognition, to irrevocably designate an equity investment at fair value through other comprehensive income. The Group's policy is to designate equity investments as FVOCI when those investments are held for purposes other than to generate investment returns. When this election is used, fair value gains and losses are recognized in OCI and are not subsequently reclassified to profit or loss, including on disposal. Impairment losses (and reversal of impairment losses) are not reported separately from other changes in fair value. Dividends, when representing a return on such investments, continue to be recognized in profit or loss as other income when the Group's right to receive payments is established.

The Group's financial assets measured at FVOCI represent unquoted shares of stock of related parties and quoted investments in various golf club shares and stocks. These are separately shown in the consolidated statements of financial position (Note 11).

Dividends are recognized when the Group's right to receive payment is established, it is probable the economic benefits will flow to the entity and the amount can be measured reliably. Dividends are recognized in profit and loss unless they clearly represent recovery of a part of the cost of the investment, in which case they are included in other comprehensive income. Changes in fair value are recognized in other comprehensive income and are never recycled to profit and loss, even if the asset is sold or impaired.

19.5.3 Impairment

The Group assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortized cost and FVOCI. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

For trade receivables, the Group applies the PFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance. To measure the expected credit losses, trade receivables and contract assets have been grouped based on shared credit risk characteristics and the days past due.

The expected loss rates are based on the payment profiles of counterparties over a period of 36 months before January 1, 2020 and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. The Group has assessed that the impact of forward-looking information on the loss rates applied is immaterial.

Impairment losses on receivables are presented in other general and administrative expenses consolidated statement of total comprehensive income. Subsequent recoveries are credited to other income.

19.5.4 Classification and measurement of financial liabilities

Financial liabilities are classified in the following categories: financial liabilities at fair value through profit or loss (including financial liabilities held for trading and those that designated at fair value); and financial liabilities at amortized cost. The Group did not measure its financial liabilities at fair value through profit or loss as at September 30, 2025 and December 31, 2024.

Financial liabilities that are not classified as at fair value through profit or loss fall into this category and are measured at amortized cost.

The Group's accounts payable and other current liabilities (excluding advanced rental, contract liabilities, customers' deposits, reservation payable, output VAT, deferred output VAT and payable to government agencies) (Note 14), installment payable, deposits from tenants (Note 16), dividends payable, accrued employee benefits (excluding retirement benefits) and bank loans (Note 15) are classified under financial liabilities at amortized cost.

19.5.5 Initial recognition

Regular purchases and sales of financial assets are recognized on the trade date (the date on which the Group commits to purchase or sell the assets).

Financial assets and liabilities not carried at fair value through profit or loss are initially recognized at fair value plus transaction costs. Financial assets and liabilities carried at fair value through profit or loss are initially recognized at fair value, and transaction costs are recognized as expense in profit or loss.

The Group recognizes a financial liability in the consolidated statement of financial position when the Group becomes a party to the contractual provision of the instrument.

19.5.6 Day 1 difference

Where the transaction price in a non-active market is different from the fair value from other observable

current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a Day 1 difference) in the profit or loss unless it qualifies for recognition as some other type of asset. In cases where the data used are not observable, the difference between the transaction price and model value is only recognized in the profit or loss when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the Day 1 difference.

19.5.7 Derecognition

Financial assets are derecognized when the rights to receive cash flows from the investments have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership.

Financial liabilities are derecognized when the obligation is discharged or is cancelled or has expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in profit or loss.

19.5.8 Offsetting of financial instruments

Financial assets and liabilities are offset and the net amount reported in the consolidated statement of financial position when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Group or the counterparty. There are no offsetting arrangements as at September 30, 2025 and December 31, 2024.

19.6 Trade and other receivables

Trade receivables arising from regular sales with credit terms of 30 to 60 days and other receivables are recognized initially at fair value and subsequently measured at cost using the effective interest method, less any provision for impairment.

The Group applies the PFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure the expected credit losses, trade receivables have been grouped based on shared credit risk characteristics and the days past due. The carrying amount of the asset is reduced using an allowance account, and the amount of the loss is recognized within operating expenses in the consolidated statement of total comprehensive income. When a receivable remains uncollectible after the Group has exerted all legal remedies, it is written off against the allowance account for trade receivables. Subsequent recoveries of amounts previously written-off are credited against other general and administrative expenses in the consolidated statement of total comprehensive income.

The expected loss rates are based on the payment profiles of sales over a relevant period and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables.

Refer to Note 19.5 for other relevant accounting policies on trade and other receivables.

19.7 Properties held for sale

Properties held for sale are properties being constructed or acquired for sale in the ordinary course of business, rather than for rental or capital appreciation, and are carried at the lower of cost and net realizable value (NRV). NRV is the estimated selling price in the ordinary course of the business, based on market prices at the reporting date, less estimated costs of completion and estimated costs to sell.

Cost of condominium units held for sale represents accumulated costs of the unsold units of the completed

projects. Cost includes those directly attributable to the construction of the projects such as cost of land, direct materials, borrowing costs, professional and consultancy fees, and project management costs, which are allocated to the unsold units.

Cost of construction in-progress represents the accumulated costs for the construction and development of the ongoing projects. It includes those that are directly attributable to the construction of the projects such as cost of land, direct materials, borrowing costs, professional and consultancy fees, and project management costs.

Properties held for sale are derecognized when they are sold or there are no future benefits to the Group. The carrying amount of those properties held for sale is recognized as an expense, reported as cost and expenses in the period in which the related revenue is recognized.

19.8 Prepaid taxes and other assets

Input VAT, which represents taxes arising from purchases of goods and services, are carried at face amount or at nominal amount less allowance for impairment loss. This is derecognized when applied against output tax, when written off or when actual refund is received. When input VAT is derecognized, its cost and accumulated impairment losses, if any, are eliminated from the account.

Creditable withholding taxes are carried at face amount or at nominal amount. Creditable withholding taxes are included in current assets, except when these are expected to be utilized more than twelve months after the end of the reporting period, in which case these are classified as non-current assets. Creditable withholding taxes are derecognized when utilized or applied against income tax due.

Prepayments are expenses paid in cash and recorded as assets before they are used or consumed, as the service or benefit will be received in the future. Prepayments expire and are recognized as expense either with the passage of time or through use or consumption.

Other current assets include assets that are realized as part of the normal operating cycle and are expected to be realized within 12 months after the reporting period.

Restricted fund represents cash deposit with a third party for the purchase of a property. Restricted funds are derecognized upon full payment to the third party. The Group then determines whether the property is to be classified as property held for sale, an investment property, or property and equipment depending on the usage of the property.

19.9 Investment properties

Investment property is defined as property held by the owner or by the lessee under a finance lease to earn rentals or for capital appreciation or both, rather than for: (a) use in the production of supply of goods or services or for administrative purposes; or (b) sale in the common course of business.

The Group's investment property, principally comprising of properties in Mandaluyong and Makati City, are held for capital appreciation and is not occupied by the Group. The Group has adopted the fair value model for its investment properties (Note 10).

After initial recognition, investment property is carried at fair value as determined by an independent firm of appraisers. Fair value is based on direct income capitalization approach and market comparison approach, adjusted, if necessary, for any difference in the nature, location or condition of the specific asset. If this information is not available, the Group uses alternative valuation methods such as recent prices on less active markets or discounted cash flow projections. These valuations are reviewed annually by the independent appraiser. Investment property that is being redeveloped for continuing use as investment property or for which the market has become less active continues to be measured at fair value.

Subsequent expenditure is charged to the asset's carrying amount only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance costs are charged to profit or loss during the financial period in which they are incurred.

Changes in fair values are recognized in the consolidated statement of total comprehensive income under gain on fair value adjustment of investment properties.

An investment property is derecognized from the consolidated statement of financial position on disposal or when the investment property is permanently withdrawn from use and no future economic benefits are expected from its disposal.

Removal of an item within investment property is triggered by a change in use, by sale or disposal. If an investment property becomes owner-occupied, it is reclassified as property and equipment (Note 19.11), and its fair value at the date of reclassification becomes its cost for accounting purposes. Gain or loss arising from disposal is determined as the difference between the net disposal proceeds and the carrying amount of the asset. Gain or loss on disposal is recognized in profit or loss in the period of the disposal.

Property that is being constructed or developed for future use as investment property is classified as investment property.

Impairment of investment properties is discussed in Note 19.13.

19.10 Real estate development projects

Real estate development projects are undertaken by the subsidiaries and are carried at cost less any impairment in value. Cost primarily consists of acquisition cost of the property being constructed, air rights, expenditures for the development and construction of the real estate project and borrowing costs incurred, if any, in the acquisition of qualifying assets during the construction period and up to the date of completion of construction.

19.11 Property and equipment

Property and equipment, except land rights, are stated at historical cost less depreciation and amortization, and accumulated impairment losses, if any. Historical cost includes expenditure that is directly attributable to the acquisition of the items, which comprises its purchase price and any directly attributable costs of bringing the asset to its working condition and location for its intended use.

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the consolidated statement of total comprehensive income within other general and administrative expenses during the financial period in which they are incurred.

Land rights are not depreciated. Depreciation and amortization of property and equipment are calculated using the straight-line method to allocate their cost to their residual values over their estimated useful lives (in years), as follows:

Building and leasehold improvements	25 or lease term, whichever is shorter
Transportation equipment	5
Furniture, fixtures and other equipment	5

Major renovations are depreciated over the remaining useful life of the related asset.

The assets' residual values and estimated useful lives are reviewed periodically, and adjusted if appropriate, at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount (Note 19.13).

The carrying amount of an item of property and equipment is derecognized on disposal or when no future economic benefits are expected from its disposal at which time the cost and related accumulated depreciation and amortization are removed from the accounts. Gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognized under other income or expense in the consolidated statement of total comprehensive income.

Depreciation or amortization ceases at the earlier of the date when the asset is classified as either investment property or property held for sale and the date the asset is derecognized.

Fully depreciated and amortized property and equipment are retained in the accounts until they are no longer in use, and no further depreciation and amortization are charged to the consolidated statement of total comprehensive income.

19.12 Goodwill

Goodwill arises on the acquisition of subsidiaries and represents the excess of the consideration transferred, the amount of any NCI in the acquired company and the acquisition-date fair value of any previously held interest in the acquired company over the fair value of the identifiable net assets acquired.

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the cash generating units (CGUs), or groups of CGUs, that is expected to benefit from the synergies of the combination. Each unit or group of units to which goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level. Gains and losses on the disposal of a subsidiary include the carrying amount of goodwill relating to the entity sold.

Goodwill impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment. The carrying value of goodwill is compared to the recoverable amount, which is the higher of value in use and the fair value less costs to sell. Any impairment is recognized immediately as an expense and is not subsequently reversed.

19.13 Impairment of non-financial assets

Non-financial assets that have an indefinite useful life are not subject to amortization and are tested annually for impairment. Assets that have definite useful lives are subject to amortization and are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. Value in use requires the Group to make estimates of future cash flows to be derived from the particular asset, and to discount them using a pre-tax market rate that reflect current assessments of the time value of money and the risks specific to the asset. For purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable CGUs.

Where an impairment loss subsequently reverses, the carrying amount of the asset or CGU is increased to the revised estimate of its recoverable amount, but the increase should not exceed the carrying amount that would have been determined had not the impairment loss been recognized for the asset or CGU in prior years. A reversal of an impairment loss is recognized as income immediately.

19.14 Accounts payable and other current liabilities

Accounts payable and other current liabilities are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable and financial liabilities at amortized cost are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business, if longer). If not, these are presented as non-current liabilities.

Accounts payable and other current liabilities are measured at the original invoice amount as the effect

of discounting is immaterial.

Relevant accounting policies for classification, recognition, measurement and derecognition of accounts payable and other current liabilities and financial liabilities at amortized cost are presented in Note 19.5.

19.15 Deposits from tenants

Deposits from tenants are carried at the present value of future cash flows using appropriate discount rates. The difference between the present value and the actual deposit received is treated as additional rental incentive which is recorded under "deferred lease income" in the consolidated statement of financial position and are recognized as rental income using the straight-line method over the term of the lease.

19.16 Borrowings and borrowing costs

Borrowings are initially recognised at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in profit or loss over the period of the borrowings using the effective interest method.

Borrowings are removed from the balance sheet when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised within interest expense and bank charges in the consolidated statement of total comprehensive income.

Borrowings are classified as current liabilities unless the Group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting period.

Borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset are capitalized as part of the cost of that asset. All other borrowing costs are recognized and charged to profit or loss in the year in which they are incurred. The Group decided to avail relief issued by the SEC per Memorandum Circular No. 4-2020. The SEC provided for the relief to the real estate industry by deferring the implementation of IFRIC Agenda Decision on Over Time Transfer of Constructed Goods (PAS 23) until December 31, 2023 (Note 19.2).

19.17 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The fair value of a non-financial asset is measured based on its highest and best use. The asset's current use is presumed to be its highest and best use.

The fair value of financial and non-financial liabilities takes into account non-performance risk, which is the risk that the entity will not fulfill an obligation.

The Group classifies its fair value measurements using a fair value hierarchy that reflects the significance of the inputs used in making the measurements. The fair value hierarchy has the following levels:

- quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1);
- inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices) (Level 2); and
- inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs) (Level 3).

The appropriate level is determined on the basis of the lowest level input that is significant to the fair value measurement.

The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry company, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in Level 1. The financial assets at fair value through profit or loss and listed financial assets at FVOCI financial assets are classified under Level 1 category.

The fair value of assets and liabilities that are not traded in an active market (for example, over-the-counter derivatives) is determined by using valuation techniques. These valuation techniques maximize the use of observable market data where it is available and rely as little as possible on entity specific estimates. If all significant inputs required to fair value an instrument are observable, the asset or liability is included in Level 2. If one or more of the significant inputs is not based on observable market data, the asset or liability is included in Level 3. The Group's unlisted financial assets at FVOCI financial assets, refundable deposits, installment payable and deposits from tenants are included in Level 3.

The Group uses valuation techniques that are appropriate in the circumstances and applies the technique consistently. Commonly used valuation techniques are as follows:

- Market approach - A valuation technique that uses prices and other relevant information generated by market transactions involving identical or comparable (i.e., similar) assets, liabilities or a group of assets and liabilities, such as a business.
- Income approach - Valuation techniques that convert future amounts (e.g., cash flow or income and expenses) to a single current (i.e., discounted) amount. The fair value measurement is determined on the basis of the value indicated by current market expectations about those future amounts.
- Cost approach - A valuation technique that reflects the amount that would be required currently to replace the service capacity of an asset (often referred to as current replacement cost).

Specific valuation techniques used to value financial instruments include:

- Quoted market prices or dealer quotes for similar instruments.
- The fair value of interest rate swaps is calculated as the present value of the estimated future cash flows based on observable yield curves.
- The fair value of forward foreign exchange contracts is determined using forward exchange rates at the reporting date, with the resulting value discounted back to present value.
- Other techniques, such as discounted cash flow analysis, are used to determine fair value for the remaining financial instruments.

19.18 Current and deferred income tax

The tax expense comprises current and deferred income taxes. Tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

The current income tax expense is calculated on the basis of the tax laws enacted or substantively enacted at the reporting date where the Group operates and generates taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation and establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

In the sale of condominium units resulting in recognition of installments contracts receivable, full recognition for income tax purposes is applied when more than 25% of the selling price has been collected in the year of sale. Otherwise, the installment method is applied.

Deferred income tax is provided in full, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantively enacted at reporting date and are expected to apply when the related deferred income tax asset is realized or the deferred income tax liability is settled.

Deferred income tax assets are recognized for all deductible temporary differences, carry-forward of unused tax losses (net operating loss carryover or NOLCO) and unused tax credits (excess minimum corporate income tax or MCIT) to the extent that it is probable that future taxable profit will be available against which the temporary differences, unused tax losses and unused tax credits can be utilized. The Group reassesses at each reporting date the need to recognize a previously unrecognized deferred income tax asset.

Deferred income tax assets are recognized on deductible temporary differences arising from investments in subsidiaries and associates only to the extent that it is probable the temporary difference will reverse in the future and there is sufficient taxable profit available against which the temporary difference can be utilized.

Deferred income tax liabilities are recognized in full for all taxable temporary differences, except to the extent that the deferred income tax liability arises from the initial recognition of goodwill. Deferred income tax liabilities are provided on taxable temporary differences arising from investments in subsidiaries and associates, except for deferred income tax liability where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future. Generally, the Group is unable to control the reversal of the temporary difference for associates. Only where there is an agreement in place can the Group control the reversal of the temporary difference that was not recognized.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority where there is an intention to settle the balances on a net basis.

Deferred income tax assets and liabilities are derecognized when relevant temporary differences have been realized and settled, respectively. The Group reassesses at each reporting date the need to recognize previously unrecognized deferred income tax asset.

19.19 Provisions

Provisions are recognized when: the Group has a present legal or constructive obligation as a result of past events; it is more likely than not that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognized for future operating losses. Provisions are derecognized when the obligation is paid, cancelled or has expired.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognized even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of the expenditure expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognized as interest expense.

Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of resources embodying economic benefits will be required to settle the obligation, the reversal is recognized in the consolidated statement of total comprehensive income within the same line item in which the original provision was charged.

19.20 Equity

(a) Share capital

Share capital consists of common shares, which are stated at par value, that are classified as equity.

Share premium is recognized for the excess proceeds and subscriptions over the par value of the shares issued.

(b) Treasury shares

Where any member of the Group purchases its own equity share capital (treasury shares), the consideration paid, including any directly attributable incremental costs (net of income taxes) is deducted from equity attributable to the Parent Company's shareholders until the shares are cancelled, reissued or disposed of. Where such shares are subsequently sold or reissued, any consideration received, net of any directly attributable incremental transaction costs and the related income tax effects, is included in equity attributable to the Parent Company's shareholders.

(c) Retained earnings

Retained earnings include current and prior years' results of operations, net of transactions with shareholders and dividends declared, if any.

(d) Dividend distribution

Dividend distribution to Parent Company's shareholder is recognized as a liability in its financial statements in the period in which the dividends are approved by the Board of Directors.

19.21 Earnings per share

Basic earnings per share is calculated by dividing net income by the weighted average number of common shares in issue during the year.

Diluted earnings per share is computed in the same manner as basic earnings per share, however, profit attributable to common shareholders and the weighted average number of shares outstanding are adjusted for the effects of all dilutive potential common shares.

19.22 Employee benefits

(a) Retirement benefits

The Group maintains a defined benefit retirement plan determined by periodic actuarial calculations. This defined benefit retirement plan is funded through payments to a trustee-administered fund and determined by periodic actuarial calculations. A defined benefit plan is a retirement plan that defines an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The liability recognized in the consolidated statement of financial position in respect of defined benefit retirement plan is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. In cases when the amount determined results in a surplus (being an excess of the fair value of the plan assets over the present value of the defined benefit obligation), the Group measures the resulting asset at the lower of: (a) such amount determined; and (b) the present value of

any economic benefits available to the Group in the form of refunds or reductions in future contributions to the plan. The defined benefit obligation is calculated annually by an independent actuary using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest of government bonds converted into zero coupon rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity which approximate the terms of the related retirement liability.

Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in other comprehensive income in the period in which they arise.

Past-service costs are recognized immediately in profit or loss.

(b) Termination benefits

Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits at the earlier of the following dates: (a) when the Group can no longer withdraw the offer of those benefits; and (b) when the entity recognizes costs for a restructuring that is within the scope of PAS 37 and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting date are discounted to present value.

(c) Short-term employee benefits

The Group recognizes a liability and an expense for short-term employee benefits which include salaries, paid sick and vacation leaves and bonuses. Bonuses are based on a formula that takes into consideration the resulting qualified profits. The Group recognizes a provision when contractually obliged or when there is a past practice that has created a constructive obligation.

Liabilities for employee benefits are derecognized when the obligation is settled, cancelled or has expired.

19.23 Income and expense recognition

The Group assesses its revenue arrangements against specific criteria in order to determine if it is acting as a principal or as an agent. The Group has concluded that it is acting as the principal in all of its revenue arrangements since it is the primary obligor in all the revenue arrangements, it has inventory risk and pricing latitude.

The following specific recognition criteria must be met before revenue and expenses are recognized.

(a) Revenue

Revenue from condominium sales

The Group develops and sells condominium units. Under a contract to sell a condominium unit, the object is the property itself, which is the normal output of a real estate business. In addition, this contract contains information, such as the contracting parties' rights and payment terms, which are essential elements for a valid revenue contract. The Group assesses that contract must be signed by the contracting parties to make it enforceable prior to revenue recognition. Also, the developer assesses the commercial substance of the contract and the probability that it will collect the consideration. Collectability of the contract price is demonstrated by the buyer's commitment to pay, which is supported by the buyer's initial and continuous investments that motivates the buyer to honor its obligation.

Contracts to sell condominium units are written on a lump sum payment basis or installment basis which include 10-20% reservation, down payments with installment terms ranging from 1-5 years.

The Group satisfies its performance obligation as it develops the property. In accordance with PFRS 15 and Philippine Interpretations Committee (PIC) 2016-04, the Group considers that the Group's

performance does not create the asset with an alternative use to the Group and it has an enforceable right to payment for performance completed to date. Therefore, revenue is recognized over time, i.e. as the related obligations are fulfilled, measured principally using the output method on the basis of the estimated completion of a physical proportion of the contract work. Land and materials delivered on site, such as steels, rebars and elevators, which are yet to be installed/attached to the main structure, are excluded from the percentage-of-completion.

Revenue is measured at the transaction price agreed under the contract, except for contracts where the timing difference between the construction period and payment by the customer exceeds one year. In such contracts, the Group assessed that it is necessary to adjust the transaction price for the effects of a significant financing component as required by PIC Q&A 2018-12, but the Group decided not to adjust the transaction price and availed the relief issued by the SEC per Memorandum Circular No. 34-2020 dated December 15, 2020. The SEC provided relief to the real estate industry by deferring the application of the provisions of PIC Q&A 2018-12 for a period of three (3) years until January 1, 2024 or completed projects, revenue from condominium sales are recognized in full (ie. point in time) once the Group assessed that the contract meets all criteria for revenue recognition.

Under the sales contract, customers are required to pay the transaction price (in the form of progress billings) over a certain period of time. Any excess (deficit) of collections over the recognized revenue are recognized as contract liabilities under accounts payable and other current liabilities (installment contracts receivable under Trade and other receivables, net) as shown in the consolidated statement of financial position.

Payments received from potential buyer to provide exclusive rights to buy a specific condominium unit under certain conditions and up to specified period are treated initially as a liability and are recognized as part of "customers' deposits" under accounts payable and other liabilities. These deposits are applied as payment of the transaction price as soon as the revenue recognition criteria are met.

Cost of condominium sales include upfront costs such as land costs and connection fees, which are accounted for as fulfillment costs, and development costs which contribute to the construction progress of the development project. Fulfillment costs are recognized as contract assets arising from fulfillment costs to the extent that such costs give rise to resources that will be used in satisfying performance obligations in the future and that are expected to be recovered. These costs are included in properties held for sale in the consolidated statement of financial position. Such contract assets are amortized as cost of condominium sales consistent with the revenue recognition method applied, subject to impairment up to the extent that the carrying amount of the asset exceeds (a) the remaining amount of consideration that the Group expects to receive; less (b) direct costs that have not been recognized as expenses. Development costs are recognized as expense as the work to which they relate is performed.

Incremental costs of obtaining a contract to sell condominium units include commissions paid to sales or marketing agents. Fixed monthly living allowance, transportation allowance provided to real estate agents and commissions paid prior to signing of contracts to sell are expensed outright. Commissions paid after signing of contracts are recognized as contract assets arising from costs to obtain a contract presented as 'prepaid commission' under prepaid expenses and other current assets in the consolidated statement of financial position. These are amortized as cost of condominium sales consistent with the revenue recognition method applied.

The cost of inventory recognized in profit or loss on disposal (cost of condominium sales) is determined with reference to the specific and allocated costs incurred on the sold property taking into account the POC. The cost of condominium sales also includes the estimated development costs to complete the condominium, as determined by the Group's in-house technical staff, and taking into account the POC. The accrued development costs account is presented under "accounts payable and other current liabilities" in the consolidated statement of financial position.

Estimated loss on unsold units is recognized in profit or loss immediately when it is probable that total project costs will exceed total contract revenue.

Condominium units arising from cancellation of contracts to sell are initially measured by the Group based on its original carrying amount at the time it was sold.

(b) Rental

Rental income from operating leases (the Group is the lessor) is recognized as income on a straight-line basis over the lease term or based on a certain percentage of gross revenue of the lessees, whichever is applicable. When the Group provides incentives to its lessees, the cost of incentives are recognized over the lease term, on a straight-line basis, as a reduction of rental income.

When the revenue recognition criteria are not met, cash received from lessees are recognized as advance rentals, until the conditions for recognizing rental income are met.

(c) Hotel operations

Hotel revenue from room rentals, food and beverage sales, and other ancillary services are recognized when the services are rendered. Revenue from other ancillary services include, among others, business center and car rental, laundry service, telephone service and health club services. The services rendered are distinct performance obligations, for which prices invoiced to the guests are representative of their stand-alone selling prices. These obligations are fulfilled over time when they relate to room rentals, that is over the stay within the hotel, at a point in time for other goods or services, when they have been delivered or rendered.

Costs of hotel operations are expense as incurred. These include expenses incurred for the generation of revenue from food and beverage sales, room rentals, and other ancillary services.

(d) Interest income and expense

Interest income and expense are recognized in profit or loss for all interest-bearing financial instruments using the effective interest method.

The effective interest method is a method of calculating the amortized cost of a financial asset or financial liability and of allocating the interest income or interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Once a financial asset or a Group of similar financial assets has been written down as a result of an impairment loss, interest income is recognized using the original effective interest rate.

Interest income on bank deposits is recognized when earned, net of final withholding tax.

(e) Dividend income

Dividend income is recognized when the Group's right to receive payment is established, which is generally when the Board of the investee company approved the dividend.

(f) Other income

Administration and management services, customer lounge fees, banner income, income from cinema operations and other service income are recognized when the related services have been rendered. Revenues from auxiliary services such as handling, sale of scrap materials, import break bulk and brokerage are recognized when services are provided or when goods are delivered. Money received or amounts billed in advance for rendering of services or delivery of goods are recorded as unearned income until the earning process is complete.

(g) Cost and expenses

Cost and expenses are recognized when these are incurred.

CUSA charges to mall tenants are presented as a reduction to costs and expenses in the consolidated statement of total comprehensive income.

19.24 Leases

(a) Group is the lessor

Rental income from operating lease is recognized on a straight-line basis over the term of the relevant lease or based on a certain percentage of gross revenue of the lessees, whichever is applicable. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognized on a straight-line basis over the lease term. Assets under these arrangements are classified as investment property in the consolidated statement of financial position (Note 19.9).

(b) Group is the lessee

The Group has adopted PFRS 16 Leases using the modified retrospective approach from January 1, 2019, as permitted under the specific transition provisions in the standard (Note 19.2).

Aside from exemptions in the standard for short-term and low-value leases which are recognized as operating leases under the provisions of PAS 17, lease payments are discounted using the interest rate implicit in the lease. Payments for leases of properties and office equipment are discounted using the lessee's incremental borrowing rate, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

Leases are recognized as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group. Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period. The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

19.25 Foreign currency transactions and translation

(a) Functional and presentation currency

Items included in the consolidated financial statements of the Group are measured using the currency of the primary economic environment in which the Group operates (the functional currency). The consolidated financial statements are presented in Philippine Peso, which is the functional and presentation currency of the Group.

(b) Transactions and balances

Foreign currency transactions are translated into Philippine Peso using the exchange rates prevailing at the date of the transactions. Foreign exchange gains or losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in profit or loss.

On consolidation, the assets and liabilities of Gipsey and SHIL, foreign subsidiaries with functional and presentation currency of Hong Kong dollar, are translated into Philippine Peso at the rate of exchange prevailing at the reporting date and their income statements are translated at exchange rates prevailing at the dates of the transactions. The exchange differences arising on translation for consolidation are recognized in other components of equity. On disposal of a foreign subsidiary, the component of other components of equity relating to that particular foreign subsidiary is recognized in profit or loss.

19.26 Related party relationships and transactions

Related party relationship exists when one party has the ability to control the other party, directly or indirectly through one or more intermediaries, or exercise significant influence over the other party in making financial and operating decisions. Such relationship also exists between and/or among entities which are under common control with the reporting enterprise, or between and/or among the reporting enterprises and their key management personnel, directors, or its shareholders. In considering each possible related party relationship, attention is directed to the substance of the relationship, and not merely the legal form.

19.27 Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. These operating segments are the basis upon which the Group reports its segment information presented in Note 2 to the consolidated financial statements.

The accounting policies used to recognize and measure the segment's assets, liabilities and profit or loss is consistent with those of the consolidated financial statements.

19.28 Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but disclosed when an inflow of economic benefits is probable.

Item 2. Management Discussion and Analysis of Financial Condition and Results of Operations

Key Performance Indicators

		September 30 2025	September 30 2024	Change
Turnover	(Php M)	7,501.4	8,136.8	-7.8%
Profit attributable to shareholders	(Php M)	2,531.2	4,239.3	-40.3%
Earnings per share	(Php Ctv)	0.53	0.89	-40.3%
Net asset value per share	(Php)	11.01	9.90	11.2%
Debt to equity ratio	(Ratio)	0.81	0.56	45.5%

- Turnover consists of sales of residential condominium units, revenue from rental and cinema and hotel operations. For nine (9) months ended September 30, 2025, Shang Properties' revenue decreased by ₱635M or 7.8% vs same period last year. Sales of residential condominium units accounted for ₱1.99B or 26.5% of the total revenue and is lower by ₱965M or 32.7% from ₱2.95B in the same period last year. Revenue from leasing operations amounted to ₱2.09B or 27.9% of the total revenue and is higher by ₱137M or 7.0% from ₱1.96B in the same period last year. Shangri-La at the Fort's hotel operations contributed revenue amounting to ₱3.42B or 45.6% of the total revenue and is higher by ₱193M or 6.0% from ₱3.23B in the same period last year.
- Profit attributable to shareholders amounted to ₱2.53B, lower by ₱1.71M or 40.3% compared with ₱4.24B in the same period last year. The decrease in profit attributable to shareholders is mainly due to higher general and administrative expenses because of new projects; higher advertising and promotion expenses of Shangri-La at the Fort and lower other income from cancelled units of Shang Wack Wack and The Rise as the project is now almost fully sold out.
- Earnings per share of ₱0.521 in 2025 is lower by 40% compared with ₱0.890 at the end of the third quarter of 2024.
- Net asset value per share is calculated by dividing the total net asset of the Group (Total assets – Total liabilities and equity attributable to non-controlling interest) by the number of shares outstanding. Net asset value per share increased by 11% mainly due to income generated during the period.
- Debt to equity ratio measures the exposure of creditors to that of the stockholders. It gives an indication of how leveraged the Group is. It is determined by dividing total debt by stockholder's equity. The Group's financial position remains solid with debt-to-equity ratio of 0.81:1 as of September 30, 2025 and 0.56:1 as of September 30, 2024.

Financial Condition

Total assets of the Group as of September 30, 2025 amounted to ₱105.6B, an increase of ₱13.7B from total assets of ₱91.8B in December 31, 2024. Following are significant movements in assets during the third quarter of the year:

- Cash and Cash Equivalents decreased by ₱148M mainly due to the payment of dividends and the use of funds for ongoing property development activities.
- Trade and Other Receivables increased by ₱1.12B mainly due to sales of condominium units and parking slots of all ongoing projects and reclassification.
- Properties Held for Sale increased by ₱1.87B mainly due to additional development costs of all ongoing projects.
- Prepaid and Other Current Assets increased mainly due to down payments made to contractors of ongoing projects as downpayment. These will be recouped from future progress billings. Also, included are annual prepaid expenses paid at the beginning of the year and will be amortized monthly.
- Investments in and advances to associates and a Joint Venture increased by ₱1.12B mainly due to the parent's share in Net Income from Shang Robinsons Properties, Inc. for 2025.
- Deferred Income Tax Assets decreased by ₱123M mainly due to income recognition of Shang Residences Wack Wack during the period which resulted to regular income tax and de-recognition of deferred tax assets.
- Other Noncurrent Assets decreased by ₱25M.
- Current ratio is 1.54:1 as of September 30, 2025 from 1.27:1 as of December 31, 2024.

Total liabilities increased by ₱13B from ₱34.5B in 2024 to ₱47.5B in 2025 mainly due to the net effect of the following:

- Increase in Accounts Payable and Other current liabilities by ₱12.14M is mainly due to payments from buyers that are temporarily classified as Customers' Deposits due to pending completion of documentation.
- Increase in income tax payable by ₱31.86M is mainly due to income tax due for the third quarter of 2025 as well as final income tax payment for the year 2024.
- Deferred Income Tax Liabilities decreased by ₱302M mainly due to the recognition of revenue from property sales. Deferred income tax liability is recognized for the difference in installment method versus Percentage of Completion method. When revenue is recognized, the corresponding liability is recognized as well, thus decreasing the balance of the deferred tax liability.

Results of Operation

Consolidated net income for the period ended September 30, 2025 amounted to P2.53B which is lower by 40% from last year's P4.2B.

Turnover decreased by P635M to P7.50B in 2025 from P8.13B in 2024, mainly due to net effect of the following:

- Decrease in condominium revenues by P965M, primarily due to lower revenues from Shang Wack Wack, resulting from the cancelled units and limited remaining inventory. The decline was partially offset by revenue recognized from recently launched projects such as Shang Summit, and Bauhinia.
- Increase in revenue from rental and cinema by P137M mainly driven by higher occupancy rates and improved rental yields at Shangri-La Plaza Mall.
- Increase in revenue from hotel operations by P193M, attributed from higher occupancy rate at Shangri-La the Fort Hotel during the third quarter of 2025 compared with the same period last year.

Total Cost of Sales and Services of the Group amounted to P3.10B, higher by P67M compared with last year's P3.04B. This was mainly due to the following:

- Increase in cost of condominium sales mainly due to higher construction and material costs.
- Decrease in cost of rental and cinema by P31M mainly due to higher recovery of common area expenses during the third quarter of 2025; and
- Increase in cost of hotel operations by P73M due to higher departmental expenses because of higher occupancy rate.

Total Operating Expenses of the Group amounted to P2.02B, higher by P375M compared with last year's P1.64B. This was mainly due to the net effect of the following:

- Increase in general and administrative expense by P344M is mainly due to general and admin expenses of Shang Summit and Bauhinia as these were launched in the second half of 2024. Staff cost also increased due to annual salary adjustments.
- Increase in taxes and licenses due to documentary stamp tax on bank loans and business taxes paid during the third quarter.
- Increase in insurance by P298K mainly due to higher premiums caused by current market conditions.

Other Income increased by P188M mainly due to income from significant financing component of Shang Wack Wack as it draws nearer to completion.

Financial Soundness Indicators

	End of September 2025	End of December 2024
Current Ratio ¹	1.54:1	1.27:1
Debt-to-equity ratio ²	0.81:1	0.60:1
Asset-to-equity ratio ³	1.82:1	1.60:1
	3Q 2025	3Q 2024
Interest rate coverage ratio ⁴	54.10	199.02
Return on assets ⁵	3.42%	7.16%
Return on equity ⁶	5.85%	10.89%

¹Current assets/current liabilities

²Total liabilities/stockholders' equity

³Total asset/stockholders' equity

⁴Income before interest and taxes/interest expense

⁵Annualized net income/average total assets⁷

⁶Annualized net income/average stockholders' equity⁷

⁷Annualized net income = 3Q Net income x Average Total Assets = average total assets as of end September 2025 and end of September 2024

Average Stockholders' Equity = average stockholders' equity as of end of September 2025 and end of September 2024

PART II-OTHER INFORMATION

Item 2. Information required by Part III, Paragraph (A) (2) (b) of “Annex C” of SRC Rule 12

- There are no known trends or any known demands, commitments, events or uncertainties that will result in or that will reasonably likely result in the registrant's liquidity increasing or decreasing in any material way.
- There are no known events that will trigger direct or contingent financial obligation that is material to the company, including any default or acceleration of obligation.
- There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the company with unconsolidated entities or other persons created during the reporting period.
- There are no material commitments for capital expenditures.
- There are no known trends, events or uncertainties that have or that are reasonably expected to have material favorable or unfavorable impact on net sales or revenues or income from continuing operations.
- There are no significant elements of income or loss that did not arise from the registrant's continuing operations.
- There are no material changes in periodical reports.
- There are no seasonal aspects that have a material effect on the financial statements.

Item 3. Other Required Disclosures

- A. The attached interim financial reports were prepared in accordance with Philippine Financial Reporting Standard. The accounting policies and methods of computation followed in these interim financial statements are the same compared with the audited financial statements for the period ending December 31, 2024.
- B. Except as reported in the Management's Discussion and Analysis of Financial Condition and Results of Operations, there were no unusual items affecting assets, liabilities, equity, net income or cash flows for the interim period.
- C. There were no materials changes in estimates of amounts reported in prior period that have material effects in the current interim period.
- D. Except as disclosed in the Management's Discussion and Analysis of Financial Condition and Results of Operations, there were no other issuances, repurchases and repayments of debt and equity securities.

SHANG PROPERTIES, INC. AND SUBSIDIARIES

AGING OF RECEIVABLES

As of September 30, 2025

Php'000s

TENANTS	TOTAL RECEIVABLES	CURRENT	1-30 DAYS	31-60 DAYS	61-90 DAYS	OVER 90 DAYS
Mall Tenants	94,170	41,163	11,585	12,258	11,455	17,709
EDSA Shangri-La Hotel & Resort	8,311	8,311	-	-	-	-
TSFT Commercial Space	1,073	12	12	-	-	1,049
TEC Tenants	73,326	17,355	30,492	9,947	5,874	9,658
Third Parties	284,643	174,382	78,530	20,174	11,557	-
Installment Contracts Receivables	14,895,970	14,895,970	-	-	-	-
	15,357,493	15,137,194	120,619	42,379	28,886	28,416

Note: Installment Contracts Receivables include both current and long-term portion and are covered by post-dated checks from customers.



Karlo Marco Estavillo
Chief Operating Officer

